Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

THE ESSENTIAL ELEMENTS OF A PARTNERSHIP

A partnership must have three essential elements:

1. There must be an agreement entered into by two or more persons: The first element shows the voluntary contractual nature of partnership. A partnership can only arise as a result of an agreement, express or implied, between two or more persons. Where there is no agreement there is no partnership.

2. The agreement must be to share the profits of a business: The second element states the motive underlying the formation of a partnership. It also lays down that the existence of a business is essential to a partnership. Business includes any trade, occupation or profession. If two or more persons join together to form a music club it is not a partnership because there is no business in this case. But if two or more persons join together to give musical performances to the public with a view to earning profit, there is a business and a partnership is formed.

3. The business must be carried on by all or any of them acting for all.

The third element is the most important feature of partnership. It states that persons carrying on business in partnership are agents as well as principals. The business of a firm is carried on by all or by any one or more of them on behalf of all. Every partner has the authority to act on behalf of all and can, by his actions, bind all the partners of the firm. Each partner is the agent of the others in all matters connected with the business of the partnership business. But if there is any fraudulent intention, he may be stopped from doing so.

Types of partnership:

Partnership-at-will: A partnership is called a partnership-at-will (i) when the partnership is not for a fixed period of time and (ii) when no provision is made as to when and how the partnership will come to an end. A partnership-at-will can be dissolved whenever any partner chooses to do so.

Particular Partnership: particular partnership is one which is formed for a particular adventure or a particular undertaking. Such a partnership is usually dissolved on the completion of the adventure or undertaking.

Limited Partnership: In Great Britain, according to the provisions of the Limited Partnership Act of 1907, a partnership may be formed, in which the liability of all partners (except one) is limited. There must be at least one partner with unlimited liability.

Different types of partners:

1. Active partner: An active partner refers to a partner who active participation in the firm and carries the daily business activities on behalf of all the partners.

2. Sleeping partner: This is a partner that does not participate in the daily functioning of the partnership firm.

3. Nominal partner: A nominal partner is one who allows the use of his/her name by a firm but does not contribute to its capital. He/ She does not take active part in managing and does not share its profits or losses but his liability is unlimited like other partners 4. Partner by Estoppel: A partner by estoppel is when an individual represents himself as partner, either by words writen or spoken or by conduct. He is said to be liable to all those who, relying on such a representation. (অর্থাৎ, যে ব্যক্তি নিজের কথা বা কাজ

দ্বারা নিজেকে কোনো ব্যবসায়ের অংশীদার বলে দাবি করে কিন্তু প্রকৃতপক্ষে অংশীধার নয় তাকে Partners by Estoppel বলে। যদি কোনো ব্যক্তি তার এসব কথা বা কাজে প্রভাবিত হয়ে কোনো লেনদেন করে তাহলে Partners by Estoppel ঐ ব্যক্তির কাছে দায়বদ্ধ থাকবে)

5. Minor partner: A partner who is below 18 (eighteen) is called minor partner. After reaching the age of majority, the minor must provide public notice of whether or not he wants to remain a partner in the firm. He/she does not share in the loss but only in profit and he is not liable to third party for the business liability.

The Partnership Act lays down two general rules regarding the conduct of the partners to one another.

1. "Partners are bound to carry on the business of the firm to the greatest common advantage, to be just and faithful to each other, and to render true accounts and full information of all things affecting the firm to any partner or his legal representative.

This section lay down that the relationship between partners is one of utmost good faith. Though partners are not trustees for one another, it has been held in some cases that the relationship between them is of a fiduciary character.

2. "Every partner shall indemnify the firm for any loss caused to it by his fraud in the conduct of the business of the firm. This rules' follows logically from the rule laid down in the previous section. Since partnership implies utmost good faith, (a partner must not act fraudulently against the firm. If he does, he must make up the loss.)

Subject to the general principles stated above the following rules are laid down in the Act regarding the relationship between the partners as regards the management of the business and their mutual rights and duties:

1. Rules regarding the conduct of the business. Subject to any agreement to the contrary, the following rules apply as regards the management of a firm:

(a) every partner has a right to take part in the conduct of the business;

(b) every partner is bound to attend diligently to his duties in the conduct of the business;

(c) any difference arising as to ordinary matters connected with the business may be decided by a majority of the partners, and every partner shall have the right to ex- press his opinion before the matter is decided but no change may be made in the nature of the business without the consent of all the partners; and

(d) every partner has a right to have access to and to inspect and copy any of the books of the firm.

2. Mutual rights and duties: Subject to any contract to the contrary, the mutual rights and duties of partners are as follows:

(a) a partner is not entitled to receive renunciation for taking part in the conduct of the business;

(b) the partners are entitled to share equally in the profits earned and shall contribute equally to the losses sustained by the firm:

(c) where a partner is entitled to interest on the capital sub- scribed by him such interest shall be payable only out of profits:

(d) a partner making, for the purposes of the business, any payment or advance beyond the amount of capital he has agreed to subscribe, is entitled to interest thereon at the rate of six per cent, per annum:

(e)The firm shall indemnify a partner in respect of payments made and liabilities incurred by him- (i) in the ordinary and proper conduct of the business, and

3. Secret Profits: Subject to contract between the partners.

a) If a partner derives any profit for him from any transaction of the firm, or from the use of the property or business connection of the firm or the firm name, he shall account for that profit and pay it to the firm;

(b) if a partner carries on any business of the same nature as and competing with that of the firm, he shall ac- count for and pay to the firm all profits made by him in that business.

RECONSTITUTION OF A FIRM

The constitution of a firm may be changed by the introduction of a new partner; death, retirement, insolvency and expulsion of a partner: or by the transfer of a partner's share to an outsider. All these cases are included within the term Reconstitution of a firm. Upon reconstitution, the rights and liabilities of the incoming and out-going partners have to be determined. The provisions of the Partnership Act regarding such cases are stated below.

Introduction of a New Partner: A new partner can be introduced only with the consent of all the partners. The share of profits which a new partner is entitled to get is fixed at the time he becomes a partner. He is liable for all the debts of the firm after the date of his admission but he is not responsible for any act of the firm done before he became a partner, unless otherwise agreed. These rules do not apply to a minor becoming a partner.

Retirement of a Partner: A partner may retire (a) with the consent of all the other partners, (b) in accordance with the terms of the agreement of partnership, or (c) where the partnership is at will, by giving notice in writing to all the other partners of his intention to retire.

A retiring partner may be discharged from any liability to any third party for acts of the firm done before his retirement if it is so agreed with the third party and the partners of the reconstituted firm. Such agreement may be implied from the course of dealing between the firm and the third party after he had knowledge of the retirement.

The retired partner continues to remain liable to third parties for all acts of the firm until public notice is given of the retirement. Such notice may be given either by the retired partner or by any member of the reconstituted firm.

Expulsion of a Partner: A partner can be expelled only when the following conditions are fulfilled:

(a) When the contract of partnership contains a provision for expulsion under stated circumstances.

RIGHTS AND LIABILITIES OF PARTNERS

If the firm is dissolved, the usual procedure in case of dissolution is adopted (ie. the assets are collected and the debts and charges are paid). If any balance remains due to the insolvent out of the assets, the same is handed over to the official assignee or the official receiver.

If the firm is not dissolved by the insolvency, the share of the insolvent partner vests in the official assignee or the official receiver. Thereafter the estate of the insolvent partner is not liable for any act of the firm and the firm is not liable for any act of the insolvent done after the date of the order of adjudication.

Death of a Partner: Ordinarily the death of a partner has the effect of dissolving the firm. But it is competent for the partners to agree that the firm will continue to exist even after the death of a partner.

Where the firm is not dissolved by the death of a partner, the estate of the deceased partner is not liable for any act of the firm done after his death.

Transfer of a Partner's interest: A partner may transfer his interest in a firm to an outsider. The transfer may be absolute or partial. The interest may also be sold to a third party in execution of a decree of a court. The transferee in such cases gets very limited rights over the firm.

Sub-partnership: The transferee of a share of a partner's interest in a firm is sometimes called a Sub-partner and the relationship a Sub-partnership. Suppose that X, the owner of i share of a firm, transfers of his share to Y. The transfer Y becomes a sub-partner.

DISSOLUTION OF FIRMS

Dissolution of a firm means the end of a firm by the break- up of the relation of partnership between all the partners. Dissolution is to be distinguished from reconstitution of a firm. In the latter case, the partnership continues but there is a change in the number of partners.

THE GROUNDS OF DISSOLUTION

A firm may be dissolved on any one of the following grounds:

1. By agreement: A firm may be dissolved any time with the consent of all the partners of the firm. Partnership is created by contract, it can also be terminated by contract.

2. By notice: Where the partnership is at will, the firm may be dissolved by any partner giving notice in writing to all the other partners of his intention to dissolve the firm. The firm is dissolved as from the date mentioned in the notice as the date of dissolution, or, if no date is mentioned, as from the date of communication of the notice.

3. On the happening of Certain Contingencies: A firm is dissolved- (a) if constituted for a fixed term, by the expiry of that term: b) undertakings by the completion thereof: (c) by the death of a partner: and (d) by the adjudication of a partner as an insolvent.

4. Compulsory Dissolution: A firm is dissolved

(a) by the adjudication of all the partners or of all the partners but one as insolvent, or

(b) by the happening of any event which makes the business of the firm unlawful,

But if a firm has more than one undertaking, some of which become unlawful and some remain lawful, the firm may continue to carry on the lawful undertakings.

5. Dissolution by the Court: At the suit of a partner, the court may dissolve a firm on any one of the following grounds: (a) If a partner becomes insane. (The suit for dissolution in this case can be filed by the next friend of the insane partner or by any other partner).

(b) If a partner becomes permanently incapable of performing his duties as a partner. Permanent incapacity may arise from an incurable illness like paralysis.

The suit for dissolution in this case must be brought by a other than the person who has become incapable.

(d) If a partner willfully and persistently commits breach of the partnership agreement regarding management, or otherwise conducts himself in such a way that it is not reasonably practicable for the other partners to carry on business in partnership with him.